

INSURANCE AND PENSIONS COMMISSION



SECOND QUARTER REPORT

FOR

SELF ADMINISTERED PENSION FUNDS

HALF YEAR ENDED 30 JUNE 2016

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2.0 Industry Overview

This report is centered on 17 standalone funds, 4 fund administrators, and 3 life assurers.

For the half year ended 30 June 2016, self-administered funds recorded contributions amounting to \$448million albeit \$343million or 77% was in arrears (June 2015: \$297million or 74%). Various arrear contribution amortization and collection efforts continue in collaboration with sponsoring employers and fund administrators.

Following IPEC's administrative measures to protect member values and benefits, cost management efforts have now gained traction in the industry. The expense-to-contribution ratio closed the current review period at 21% from 32% in June last year.

The total asset base for the self-administered funds was \$2.237billion from \$2.106billion as at the comparable period last year. Prescribed assets uptake rate was 7% due to IPEC's increased engagements with funds to comply as well as improved supply of government paper. For a consolidated summary of industry's financials See Table 1, below.

Table 1: Financial Summary for Self-Administered Funds -30 June 2016

Indicator	Standalone Funds			Insurer Administered Funds			Fund Administrators			TOTALS		
	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%
Arrear Contributions (\$000)	217,363	262,767	21%	39,849	41,078	3%	39,386	39,469	-	296,598	343,314	16%
Total Contributions (Incl.Arrears) (\$000)	266,371	315,771	19%	64,871	64,974	0%	69,264	66,828	-4%	400,506	447,573	12%
Total Contributions (Excl. Arrears) (\$000)	49,008	49,034	0%	25,022	23,896	-5%	29,878	27,359	-8%	103,908	100,289	-3%
Total Income (\$000)	75,762	83,988	11%	26,184	26,322	1%	49,867	42,871	-14%	151,813	153,181	1%
Total Benefits	35,703	35,638	0%	13,323	13,409	1%	22,513	24,003	7%	71,539	73,050	2%
Total Expenses (\$000)	9,768	10,135	6%	6,724	4,387	-35%	16,385	6,867	-58%	32,877	21,389	-35%
Net Income(\$000)	29,732	38,215	29%	6,137	8,526	39%	10,969	12,001	9%	47,397	58,742	24%
(Expense/Contributions)%	20%	21%	1%	27%	18%	-9%	45%	25%	-20%	32%	21%	-11%
(Expense/Total Income)%	13%	12%	-1%	26%	17%	-9%	27%	16%	-11%	22%	14%	-8%
Total Assets (\$000)	1,261,795	1,371,653	9%	330,085	336,240	2%	513,826	529,112	32%	2,105,706	2,237,005	6%
Prescribed Assets (\$000)	33,111	63,338	91%	10,368	30,868	198%	41,612	54,620	31%	85,091	148,826	75%
Prescribed Asset Ratio (%)	3%	5%	2%	3%	9%	6%	12%	10%	-2%	4%	7%	3%

SECTION A



STAND ALONE FUNDS

3.0 Standalone Self-Administered Pension Funds

This report is based on 17 standalone funds and the fund which failed to submit returns was fined (See Table 1, below).

Table 1: Standalone Self-Administered Pension Funds

Fund Name	June 2016
Catering Industry Pension Fund	1
Clothing Industry Pension Fund	1
Communication and Allied P/Fund	1
Construction Industry P/Fund	1
Local Authorities Pension Fund	1
Mining Industry Pension Fund	1
NRZ Pension Fund	1
ZB Financial Holdings P/Fund	1
Zimbabwe Electricity Industry Pension Fund	1
ZESA P/F	1
GMB Pension Fund	1
Motor Industries Pension Fund	1
Pentact Pension Fund	1
Specialised Business Machines Pension Fund	1
Unified Councils Pension Fund	1
ZMDC P/F	1
TOTALS	17

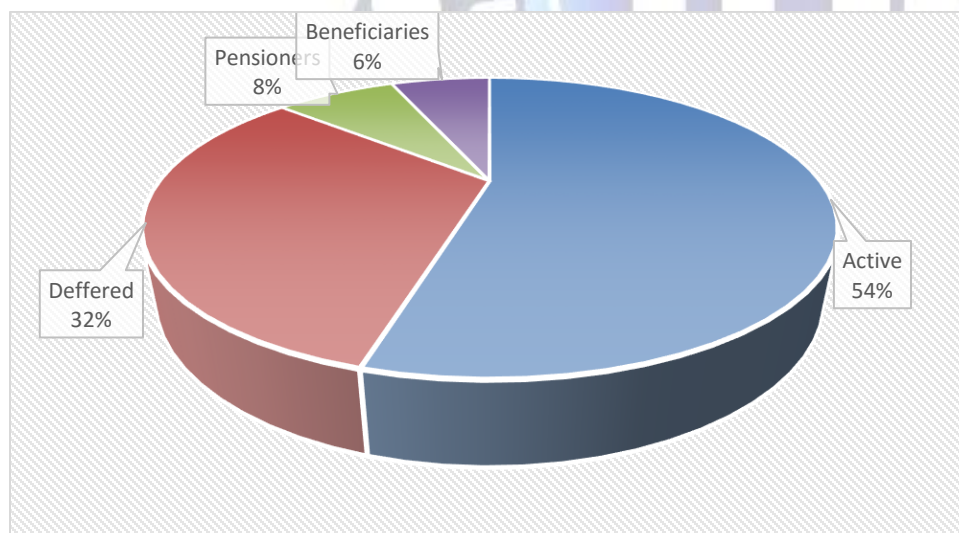
4.0 Pension Fund Membership

For the half year ended 30 June 2016, active membership constituted 54% or 183, 162, deferred members-107,370 or 32%, pensioners-25182 or 8% whilst the balance were beneficiaries. Total membership thus declined by 10%, from 374,418 to the current 336,678, due to Statutory Instrument 24 of 2016 which legalized automatic commutations for members earning pension payouts of less than \$50 per month as well as company closures.

Table2: Membership per Stand-alone Fund for the half year ended 30 June 2016

	Active Memembers			Defered Pensioners			Former Memembers			Beneficiaries			Exits			Total Membership		
	Jun-15	Jun-16	Growth	Jun-16	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth
Cat/IPF	14,381	13,716	-5%	52,257	33,210	-36%	0	0	0%	158	160	1%	0	0	0%	66,796	47,086	-30%
Clo/IPF	11,833	13,331	13%	11,050	10,174	-8%	0	0	0%	0	0	0%	-596	-181	-70%	22,883	23,676	3%
CAIPF	3,160	2,894	-8%	4,166	4,229	2%	1,520	1,789	0	2,780	2,869	3%	-22	-57	159%	11,626	11,781	1%
CIPF	64,999	45,901	-29%	5,843	6,059	4%	61	79	29%	89	141	58%	-845	-692	-18%	70,992	52,180	-26%
LAPF	*	658	#	*	0	#	*	0	#	*	0	#	*	5	#	*	658	#
MIPF	18,924	18,149	-4%	0	0	0%	4,936	5,235	6%	7,417	7,262	-2%	-243	-227	-7%	31,277	30,646	-2%
NRZ	26,289	22,909	-13%	45,382	46,106	2%	8,435	9,058	7%	1,326	1,391	5%	-896	-1,534	71%	81,432	79,464	-2%
ZB FHGPF	6,397	5,460	-15%	2,014	2,253	12%	5,007	4,993	0%	7,429	6,986	-6%	-104	-99	-5%	20,847	19,692	-6%
Zim/ E Ind P/F	1,337	1,291	-3%	1,728	1,790	4%	729	594	-19%	344	313	-9%	-9	-14	56%	4,138	3,988	-4%
ZESA P/F	6,605	6,469	-2%	0	0	0%	465	773	66%	177	320	81%	0	0	0%	7,247	7,562	4%
GMB	*	0	#	*	2,845	#	*	2,293	#	*	1,442	#	*	0	#	*	2,237	#
Motor Ind	1,952	692	-65%	686	689	0%	27	23	-15%	0	0	#	-40	-12	-70%	2,665	1,404	-47%
PentactP/F	46,306	46,199	0%	0	0	0%	119	143	20%	28	31	11%	0	0	0%	46,453	46,373	0%
SBM	*	3	#	*	0	#	*	0	#	*	0	#	*	0	#	*	3	#
UCPF	5	5	0%	1	1	0%	0	0	0%	0	0	0%	0	0	0%	6	6	0%
ZMDC	*	5,323	#	*	14	#	*	98	#	*	1	#	*	89	#	*	5,436	#
Cat/IPF	*	162	#	*	0	#	*	74	#	*	78	#	*	0	#	*	314	100%
Totals	208,307	183,162	-12%	124,066	107,370	-13%	21,794	25,152	15%	20,251	20,994	4%	-2,915	-2,910	-0.17%	374,418	336,678	-10%

Figure 1: Membership for Stand-alone Funds for the half year ended 30 June 2016



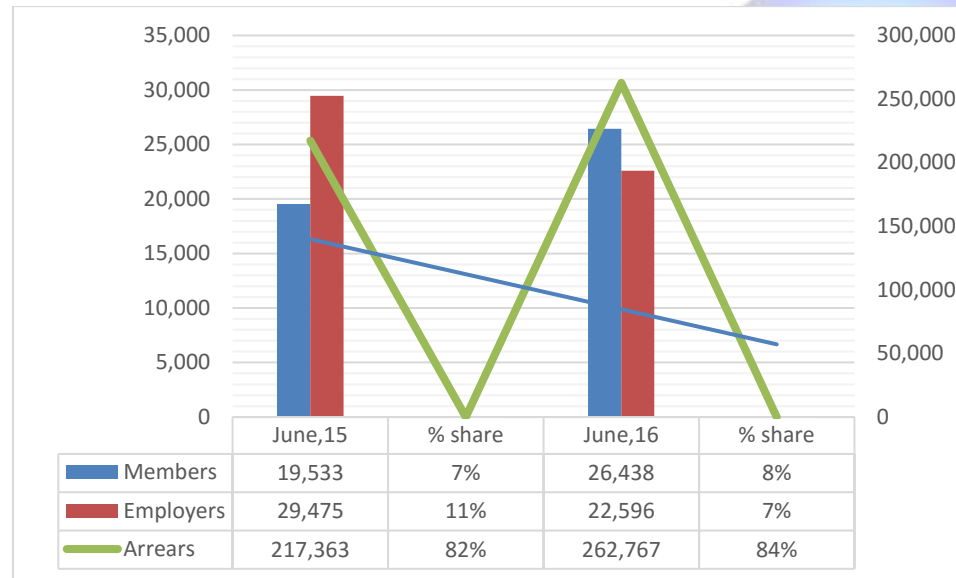
5.0 Contributions

During the period under review the total contributions increased by 19% (2015: \$266million; 2016: \$316 million). However, 84% or \$263 million were arrear contributions (June 2015: \$217million or 82%) implying that only 16% of contributions were collected. This indicates the liquidity squeeze that sponsoring employers may be facing in meeting their statutory obligations. The Commission continues to monitor the situation and funds may approach the Commission who may deploy administrative measures in line with the Act and Regulations. However, the Commission shall not write off arrear contributions under any circumstances (See Table 3 and Figure 2, below).

Table 3: Contributions Statistics per Stand-alone Fund for the half year ended 30 June 2016

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth
Cat/IPF	546	525	-4%	546	525	-4%	0	0	0%	0	516	0%	1,092	1,566	43%
Clo/IPF	723	371	-49%	1,104	519	-53%	377	386	2%	2,306	1,846	-20%	4,510	3,122	-31%
CAIPF	288	332	15%	865	996	15%	1,449	508	-65%	22,355	27,402	23%	24,957	29,238	17%
CIPF	738	785	6%	738	785	6%	0	0	0%	17	211	1141%	1,493	1,781	19%
LAPF	3,876	1,840	-53%	11,206	5,326	-52%	0	0	0%	135,165	158,487	17%	150,247	165,653	10%
MIPF	7,987	7,368	-8%	7,986	7,378	-8%	615	63	-90%	1,014	1,020	1%	17,602	15,829	-10%
NRZ	1,675	1,462	-13%	0	0	0%	0	0	0%	496	2,794	463%	2,171	4,256	96%
ZB FHGPF	208	281	35%	140	403	188%	0	0	0%	0	0	0%	348	684	97%
ZEIn P/F	1,783	11,735	558%	3,789	3,823	1%	8,436	0	-100%	26,364	36,672	39%	40372	52,230	29%
ZESA P/F	*	0	0%	*	0	0%	*	0	0%	*	0	0%	*	0	0%
GMB	190	84	-56%	822	349	-58%	667	905	36%	4,765	6,463	36%	6,444	7,801	21%
Motor Ind	1,111	1,093	-2%	1,667	1,636	-2%	1,348	1,606	19%	3,370	4,014	19%	7,496	8,349	11%
PentactP/F	*	1	0%	*	1	0%	*	0	0%	*	0	0%	*	2	0%
SBM	1	1	0%	1	1	0%	0	0	0%	0	0	0%	2	2	0%
UCPF	407	548	35%	611	822	35%	561	614	9%	8,058	20,682	157%	9,637	22,666	135%
ZMDC	*	12	0%	*	32	0%	*	0	0%	*	2,548	0%	*	2,592	0%
Total	19,533	26,438	35%	29,475	22,596	-23%	13,453	4,082	-70%	203,910	262,655	29%	266,371	315,771	19%

Figure 2: Contributions Statistics for Stand-alone Funds for the half year ended 30 June 2016(\$000)



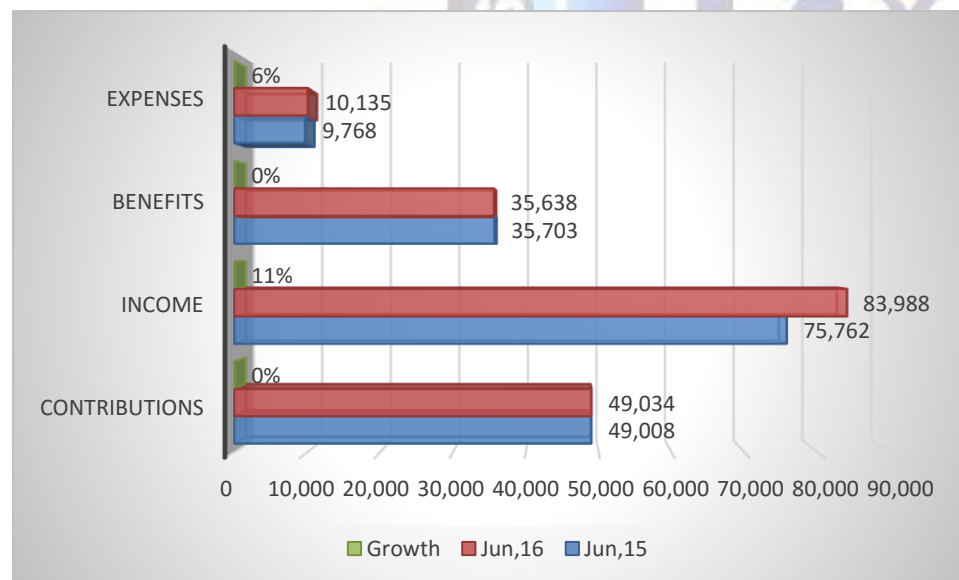
6.0 Income and Expenditure

For the period ended 30 June 2016, total received contributions remained flat at \$49million relative to prior year. Total expenses for the period grew by 6% from \$9,7million previously to the current \$10million. The average expense- to -contribution and expense to income ratios remained almost static as well. Cost management is essential in an endeavor to preserve member benefits and values (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Stand-alone Fund for the half year ended 30 June 2016 (\$'000)

Fund Name	Total Contributions(Excl arrears) (000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions)%			(Expenses/Total Income)%		
	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth
Cat IPF	1,092	1,050	-4%	1,609	2,110	31%	470	567	21%	407	480	18%	37%	46%	9%	25%	23%	-2%
Clot IPF	1,827	890	-51%	2,598	1,753	-33%	205	175	-15%	711	735	3%	39%	83%	44%	27%	42%	15%
CAIPF	1,153	1,328	15%	6,796	3,835	-44%	5,416	2,604	-52%	1,278	1,388	9%	111%	105%	-6%	19%	36%	17%
CIPF	1,476	1,570	6%	1,498	1,702	14%	636	600	-6%	1,097	704	-36%	74%	45%	-29%	73%	41%	32%
LAPF	15,082	7,166	-52%	19,522	8,813	-55%	12,930	5,164	-60%	1,126	337	-70%	7%	5%	-2%	6%	4%	-20%
MIPF	15,973	14,746	-8%	22,294	23,532	6%	5,021	8,023	60%	1,852	2,817	52%	12%	19%	7%	8%	12%	4%
NRZ	1,675	1,462	-13%	7,668	8,670	13%	9,026	12,075	34%	1,041	1,041	0%	62%	71%	9%	14%	12%	-2%
ZB FHGPF	348	684	97%	674	1,269	88%	127	1,376	983%	44	76	73%	13%	11%	-2%	7%	7%	-
Zi/EIP/F	5,572	15,558	179%	7,201	23,381	225%	192	305	59%	393	324	-18%	7%	2%	-5%	5%	1%	-4%
ZESA PFund	*	0	0%	*	2,798	0%	*	2,254	0%	*	242	0%	*	#	-	*	9%	9%
GMB	1,012	433	-57%	1,402	942	-33%	157	116	-26%	260	259	0%	26%	60%	34%	19%	27%	8%
Motor Ind	2,778	2,729	-2%	3,286	3,308	1%	1,340	1,936	44%	644	642	0%	23%	24%	-1%	20%	19%	-1%
Pentact P/F	*	2	0%	*	(3)	0%	*	0	0%	*	0.2	0%	*	10%	-	*	-7%	-
SB M P/F	2	2	0%	3	3	0%	0	0	0%	0	0	0%	0%	-	-	0%	-	-
U C P/F	1,018	1,370	35%	1,081	1,434	33%	183	310	69%	710	1,081	52%	70%	79%	9%	66%	75%	9%
ZMDC	*	44	0%	*	441	0%	*	133	0%	*	9	0%	*	20%	-	*	2%	2%
Totals	49,008	49,034	0%	75,762	83,988	11%	35,703	35,638	0%	9,768	10,135	6%	20%	21%	1%	13%	12%	-1%

Figure 3: Income and Expenditure for Stand- alone Funds for the year ended 30 June 2016(\$'000)



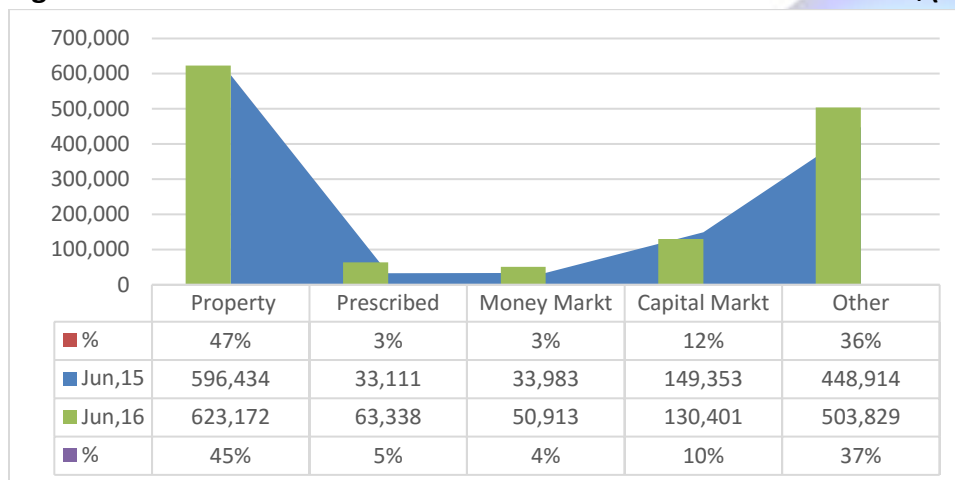
7.0 Fund Assets

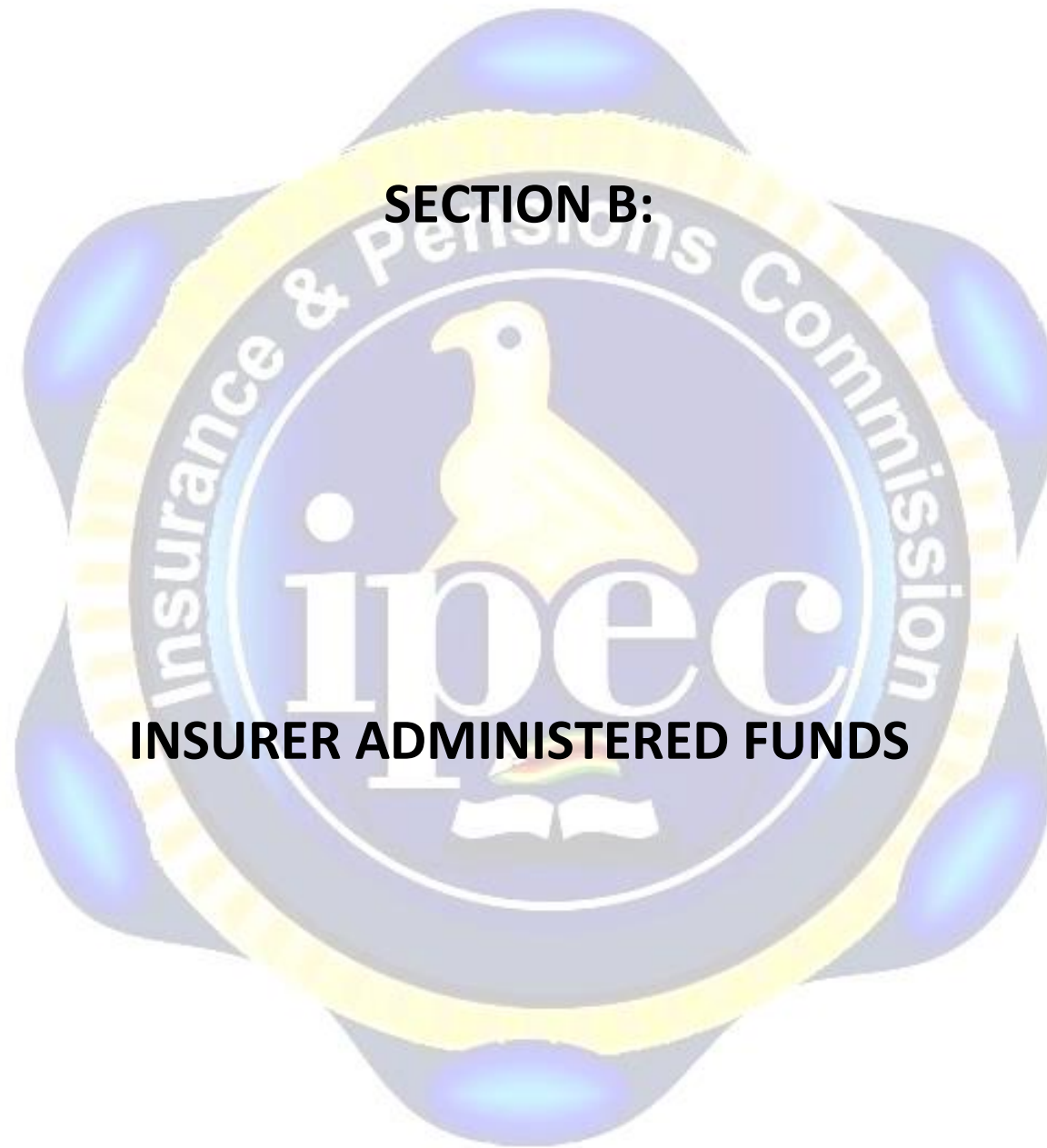
As at 30 June 2016, the total asset base for standalone funds was \$1,372billion broken down thus: property-45% or \$623million (June 2015:47% or \$596million), capital market-\$130million or 10%(June 2015: \$149million or 12 %), money market-\$51million or 4 %(June 2015: \$34 million or 3%) , prescribed assets-\$63million or 5% (June 2015:3% or \$33million),other assets-\$504million or 37% (June 2015:36% or \$449million).Prescribed assets continued to be grossly undersubscribed despite directives to the contrary. The Commission will continue to penalize the industry in order to ensure compliancy. (See Table 5 and Figure 4, below).

Table 5: Fund Assets at Market Values per Standalone Fund as at 30 June 2016

Fund	Immovable Property(\$000)			Prescribed Assets(\$000)			Money Market Securities (\$000)			Capital Market Securities(\$000)			Other(\$000)			Total(\$000)		
	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth
Catering IPF	8,756	8,690	-1%	76	978	1187%	39	144	269%	4,840	4,838	0%	1,485	1,830	23%	15,196	16,480	8%
Clothing IPF	10,845	10,590	-2%	60	472	687%	2,658	2,853	7%	3,238	2,424	-25%	2,377	1,889	-21%	19,178	18,228	-5%
CAIPF	84,921	90,649	7%	7,495	12,272	64%	5,731	0	-100%	15,889	6,981	-56%	44,667	55,643	25%	158,703	165,545	4%
CIPF	17,659	17,595	0%	363	429	18%	0	0	0%	5,414	6,269	16%	4,780	4,174	-13%	28,216	28,467	1%
CIF P/F	*	1,374	0%	*	118	0%	*	96	0%	*	652	0%	*	2,008	0%	*	4,248	0%
LAPF	82,165	82,165	0%	0	403	0%	200	0	-100%	30,980	26,178	-16%	142,184	168,228	18%	255,529	276,974	8%
MIPF	102,336	96,655	-6%	5,833	9,157	57%	0	8,715	0%	52,329	40,275	-23%	11,596	6,530	-44%	172,094	161,332	-6%
NRZ	227,580	220,570	-3%	4,442	12,489	181%	5,951	10,378	74%	13,076	10,048	-23%	176,187	151,510	-14%	427,236	404,995	-5%
ZB FHGPF	4,876	9,672	98%	2,214	5,202	135%	5,934	6,041	2%	5,616	13,568	142%	19	2,811	14695%	18,659	37,294	100%
Zim/E P/f	31,278	37,394	20%	8,064	11,167	38%	7,750	14,950	93%	4,666	3,340	-28%	48,421	65,978	36%	100,179	132,829	33%
ZESA P/Fund	*	20,420	0%	*	3,500	0%	*	1,380	0%	*	4,253	0%	*	7,473	0%	*	37,026	0%
GMB	9,478	9,478	0%	322	0	-100%	2	26	1200%	7	0	-100%	5,571	7,188	29%	15,380	16,692	9%
Motor Ind	8,796	9,429	7%	4,186	5,214	25%	5,395	6,259	16%	13,279	11,411	-14%	3,880	4,581	18%	35,536	36,894	4%
Pentact P/F	*	0	0%	*	0	0%	*	0	0%	*	6	0%	*	212	0%	*	218	0%
S B M P/F	0	-	0%	2	3	50%	11	14	27%	10	7	-30%	0	0	0%	23	24	4%
Unified Councils	7,744	6,917	-11%	54	285	428%	312	7	0%	9	0	-100%	7,747	20,632	166%	15,866	27,891	76%
ZMDC	*	1,574	4%	*	1,649	86%	*	-	51%	*	151	-13%	*	3,142	12%	*	6,516	8%
Totals	596,434	623,172	4%	33,111	63,338	91%	33,983	50,913	51%	149,353	130,401	-13%	448,914	503,829	12%	1,261,795	1,371,653	9%

Figure 4: Fund Asset Values for Standalone Funds as at 30 June 2016\$(000)





SECTION B:

INSURER ADMINISTERED FUNDS

1.0 Insurer Self-Administered Pension Funds

This report covers 32 funds administered by 3 players (See Table 1, below).

Table 1: Fund Administrators

Insurer	June 2016
First Mutual	5
Old Mutual	26
Altfin	*
Zimnat	2
TOTALS	33

***Returns Not Submitted**

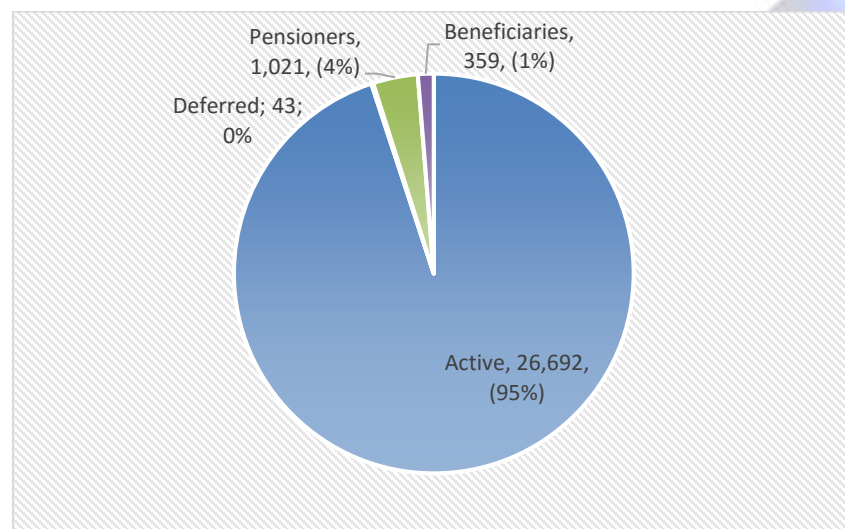
2.0 Pension Fund Membership

Total membership was 28,115 for the period under review. Active members were 95% or 26 692 of total membership whilst pensioners were 4% or 1,021 and the balance were beneficiaries. Pensioner and beneficiary numbers dropped due to low pension payouts which fell below the automatic full commutation pension of \$50 (See Table 2 and Figure 1, below).

Table2: Membership for Insurer Self-Administered Pension Funds for the year ended 30 June 2016

Insurer	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth
First Mutual	4,578	4,478	-2%	0	0	0%	33	48	45%	80	5	-94%	-113	0	-100%	4,691	4,531	-3%
Old Mutual	21,823	22,027	1%	43	43	0%	1,788	989	-45%	461	354	-23%	-643	-251	-156%	24,115	23,413	-3%
Altfin	•	•	•	•	•	•	•	•	•	•	•	•	•	•	•	•	•	•
Zimnat	218	187	-1%	0	0	0%	0	0	0%	0	0	0%	0	0	0%	218	187	-14%
Totals	26,619	26,692	0%	43	43	0%	1,821	1,021	-43%	541	359	34%	-756	-251	-200%	28,484	28,115	0%

Figure 1: Membership Statistics for Insured Self-Administered Funds for the half year ended 30 June 2016



3.0 Contributions

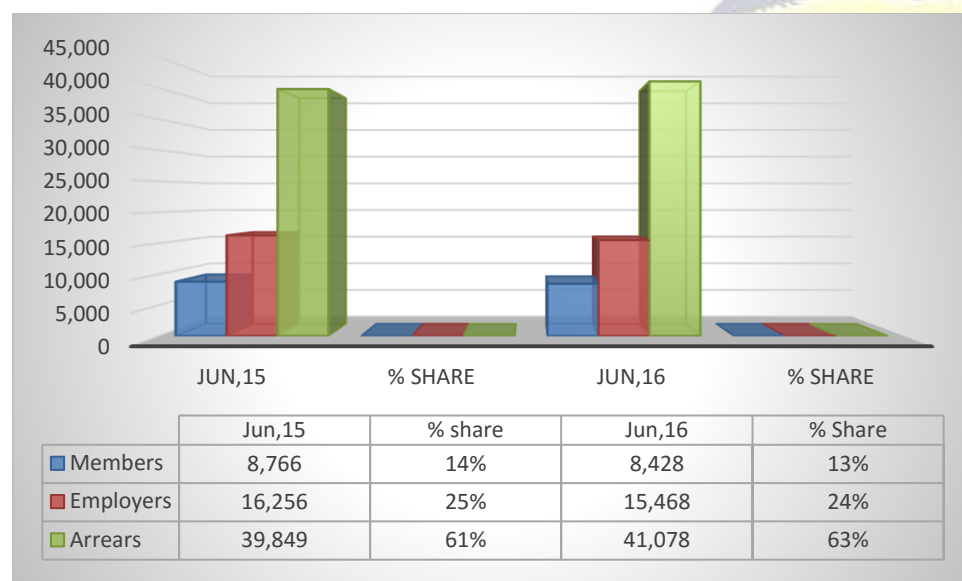
For the current review period, total contributions for self-administered funds remained pegged at \$65million just like last year. However, 63% or \$41million were arrear contributions (June 2015:61% or \$40million). The total contributions remitted to the insurers were 37 % or \$24 million of the total expected contributions. However, IPEC continues to implore sponsoring employers to make payment plans to clear pension arrears and to institute administrative measures in conformity with the law (See Table 3 and Figure 2below).

Table 3: Contribution Statistics for Insured Self-Administered Funds for the half year ended 30 June 2016

Insurer	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Jun-15	Jun-16	Growth	June 2015	Jun,2016	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth
First Mutual	3,265	2,967	-9%	4,645	3,781	-19%	0	0	0%	31,360	31,135	-1%	39,270	37,883	-4%
Old Mutual	5,365	5,326	-1%	11,394	11,470	1%	0	0	0%	8,460	9,915	17%	25,219	26,711	6%
Altfin	.	.	.	.	.	.	.	.	.	.	.	.	.	.	.
Zimnat	136	135	-1%	217	217	0%	0	0	0%	29	28	-3%	382	380	-1%
Totals	8,766	8,428	-4%	16,256	15,468	-5%	0	0	0%	39,849	41,078	3%	64,871	64,974	0%

- Means institution was suspended

Figure 2: Contribution Statistics for Insured Self-Administered Funds for the year ended 30 June 2016 \$(000)



Income and Expenditure

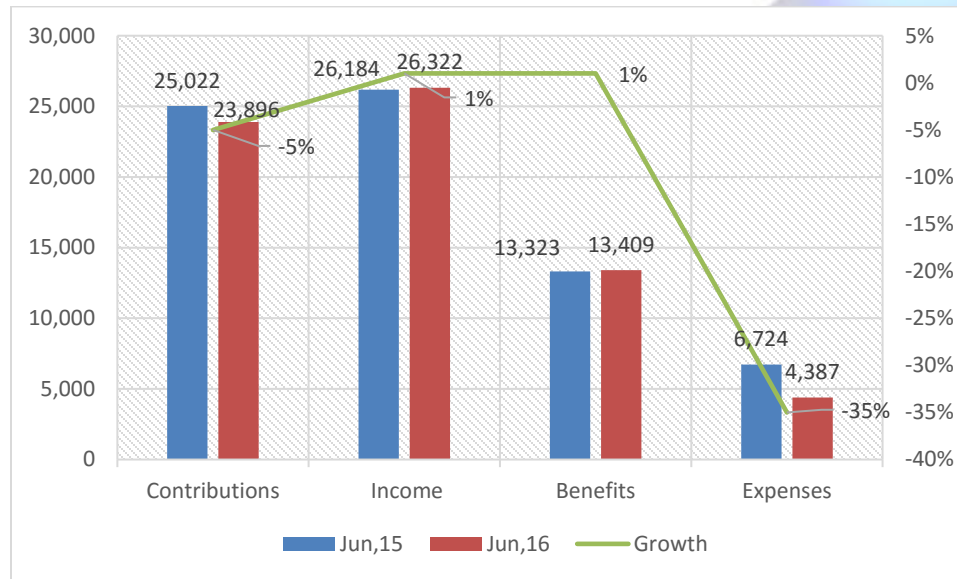
For the half year ended 30 June 2016, insurer administered funds received \$24 million in contributions from the self-administered schemes (June 2015: \$25million). Although expense ratios reportedly fell by up to 9%, the targeted ceiling is 10% (See Table 4 and Figure 3 below).

Table 4: Income and Expenditure per Insurer for Self-Administered Funds for the half year ended 30 June 2016

Insurer	Total Contributions (Excl arrears) \$(000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions) %			(Expenses/Total Income) %		
	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth
F. Mutual	7,910	6,748	-15%	7,946	6,908	-13%	5,706	1,169	-80%	3,280	903	-72%	41%	13%	-28%	41%	13%	-28%
Old Mutual	16,759	16,796	0%	17,776	18,906	6%	7,556	11,992	59%	3,241	3,165	-2%	19%	19%	0%	18%	17%	-1%
Altfin	.	.	.	.	.	.	.	.	.	.	.	.	.	.	.	.	.	.
Zimnat	353	352	0%	462	508	10%	61	248	307%	203	319	57%	58%	91%	33%	44%	63%	19%
Totals	25,022	23,896	-5%	26,184	26,322	1%	13,323	13,409	1%	6,724	4,387	-35%	27%	18%	-9%	26%	17%	-8%

- Means institution was suspended

Figure 3: Income and Expenditure for Insured Self-Administered Funds for the year ended 30 June 2016(\$000)



4.0 Fund Assets

As at the review date, the total assets for insurer self-administered funds was \$336 million divided into: property-22% or \$73million (June 2015:22% or \$74million), capital market-\$144million or 44%(June 2015: \$102million or 30 %), money market-\$59million or 18 %(June 2015: \$60 million or 18%) , other assets-\$43million or 13% (June 2015:21% or \$69million), prescribed assets-\$10million or 3% (June 2015:9% or \$31million).Players must abide by the 10% compliance ratio on prescribed assets albeit on a continuous basis to avoid penalties . (See Table 5 and Figure 4, below).

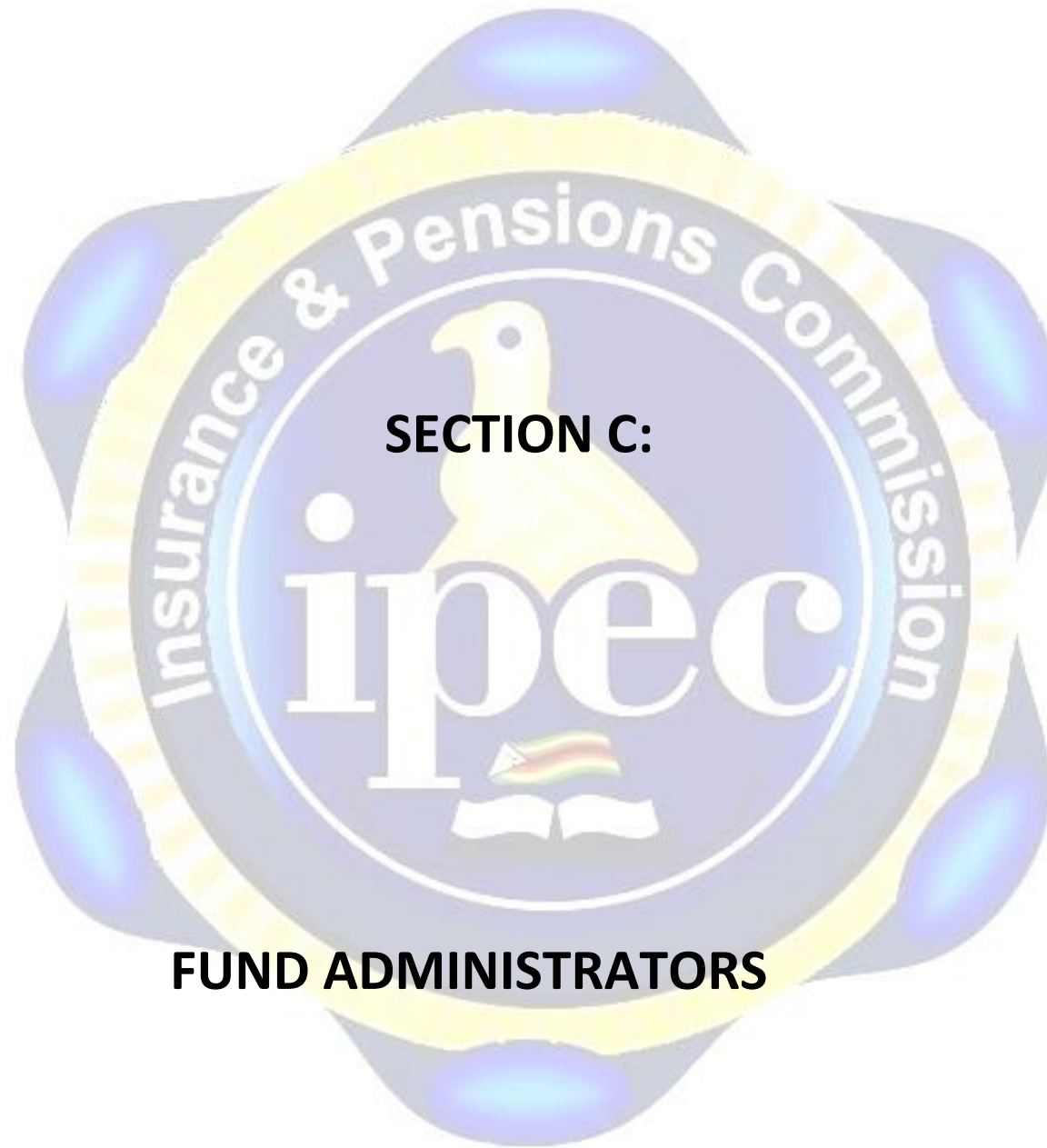
Table 5: Fund Asset Statistics at Market Value for Insured Self-Administered Funds as at 30 June 2016

Fund Name	Immovable Property\$(000)			Prescribed Assets\$(000)			Money Market Securities\$(000)			Capital Market Securities\$(000)			Other\$(000)			Total\$(000)		
	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth
F.Mutual	14,975	16,054	7%	305	380	25%	6,224	0	-100%	21,672	0	-100%	31,361	53,866	72%	74,537	70,300	-6%
O.Mutual	57,723	58,417	1%	9,788	29,992	206%	52,354	58,789	12%	120,524	100,033	-17%	11,514	15,069	31%	251,903	262,300	4%
Zimnat	0	0	0%	275	496	80%	847	930	10%	2,142	1,878	-12%	381	336	-12%	3,645	3,640	-6%
Totals	72,698	74,471	2%	10,368	30,868	198%	59,425	59,719	0%	144,338	101,911	-29%	43,256	69,271	60%	330,085	336,240	2%

- Means institution was suspended

Figure 4: Fund Assets for the year ended 30 June 2016 \$(000)





SECTION C:

FUND ADMINISTRATORS

1.0 Fund Administrators

This report is based on 138 funds in the books of the listed administrators below (See Table 1).

Table 1: Fund Administrators

Fund Administrator	June 2016
Minerva Benefits Consulting	56
Comarton Consultants	28
Marsh	45
Zimbabwe Insurance Brokers	3
TOTALS	138

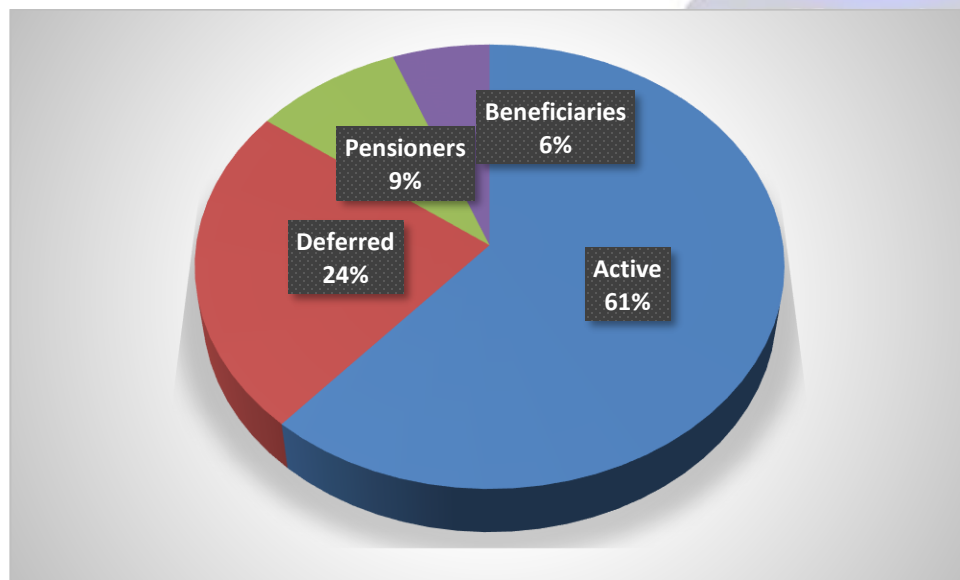
2.0 Pension Fund Membership

For the period under review, total membership fell by 7% from the reported figure of 79,126 as at 30 June 2015 to 73,512. This is attributable to the decline of mainly active members because of the retrenchments and mass-commutations pursuant to Statutory Instrument 24 of 2016. Deferred members increased by 4% to 17,478 or 24%. Active members numbered 45,143 or 61%, pensioner population remained almost flat at 6,593 or 9%, and the balance were beneficiaries (See Table 2 and figure 1 below).

Table 2: Membership for Self-Administered Funds for the half year ended 30 June 2016

Administrator	Active members			Deferred Pensioners			Former members/Pensioners			Widows & Others			Exits			Total Membership		
	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth
Minerva	22,008	17,875	-19%	10,886	11,629	7%	1,615	1,549	-4%	952	979	3%	644	1,595	148%	35,461	32,032	-10%
Comarton	14,573	13,962	-4%	521	96	-82%	2,148	2,126	-1%	1,744	1,776	2%	187	207	11%	18,986	17,960	-5%
Marsh	14,221	13,177	-7%	5,376	5,753	7%	3,059	2,918	-5%	1,563	1,543	-1%	933	336	-64%	24,219	23,371	-4%
ZIB	451	129	-71%	0	0	0%	6	0	-100%	3	0	-100%	5	4	-20%	460	129	-72%
Totals	51,253	45,143	-12%	16,783	17,478	4%	6,828	6,593	-3%	4,262	4,298	1%	1,769	2,142	21%	79,126	73,512	-7%

Figure 1: Membership for the year ended 30 June 2015



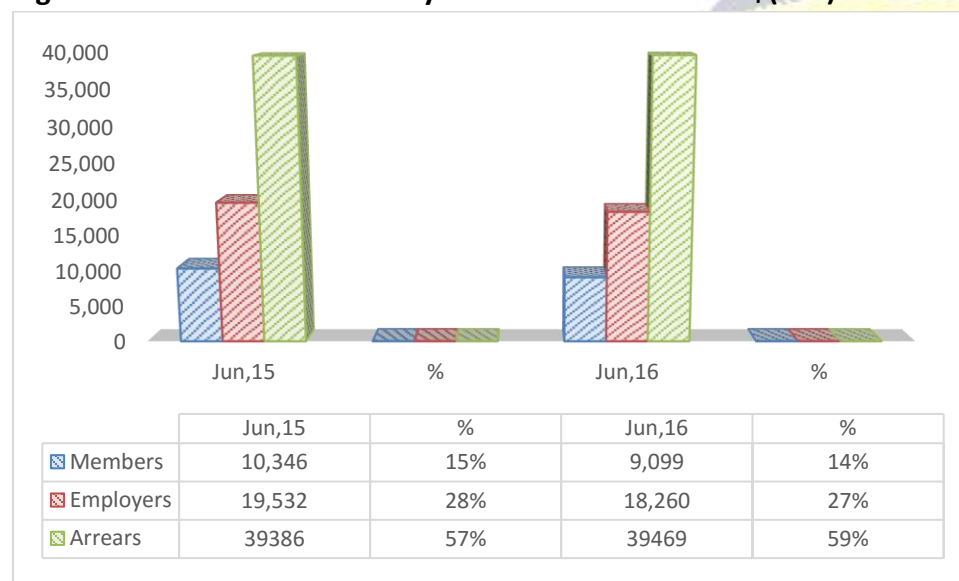
3.0 Contributions

For the half year under review, total contributions were \$67million (June 2015: \$69million). Members paid \$9million or 14% (June 2015: \$10million or 15%), employers \$18million or 27% (June 2015: \$20million or 28%) whilst 59% or \$39million was in contribution arrears (June 2015: 39million or 57%). The Commission continues to monitor this challenge. (See Table 3, below).

Table 3: Contributions Statistics for Self-Administered Funds for the half year ended 30 June 2016

Fund Name	Contributions \$(000)						Arrear Contributions \$(000)						Total Contributions \$(000)		
	Members			Employers			Members			Employers					
	Jun-15	Jun-16	Growth	June 2015	June 2016	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth
Minerva	5,762	4,924	-15%	11,168	10,577	-5%	3,683	3,557	-3%	5,369	7,127	33%	25,982	26,185	1%
Comarton	1,268	1,099	-13%	2,718	2,386	-12%	290	254	-12%	19,654	17,948	-9%	23,930	21,687	-9%
Marsh	3,276	3,057	-7%	5,556	5,251	-5%	0	0	0%	9,974	10,006	0%	18,806	18,314	-3%
ZIB	40	19	-53%	90	46	-49%	0	19	0%	416	558	34%	546	642	18%
Total	10,346	9,099	-12%	19,532	18,260	-7%	3,973	3,830	-4%	35,413	35,639	1%	69,264	66,828	-4%

Figure 2: Contributions for the year ended 30 June 2016\$(000)



4.0 Income and Expenditure

For the period under review, fund administrators reported \$27million in collected contributions (June 2015: \$30million). In line with falling investment returns, total income contracted by 14% from the previous \$50 million to \$43million, whilst total expenditure (net of benefits paid) reduced by 58% from \$16million to \$7million.

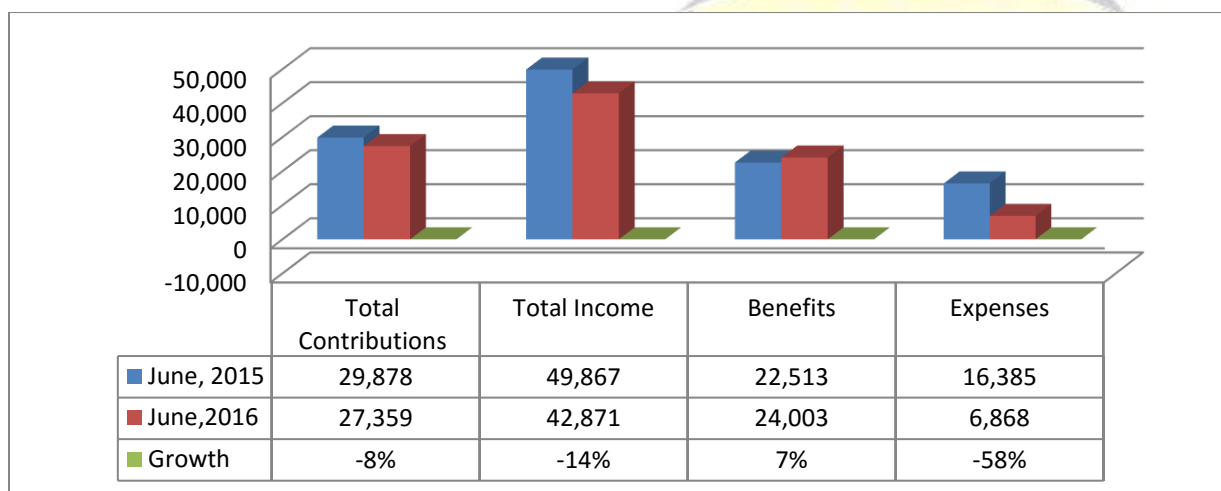
The expenses- to- contributions and expenses- to- income ratios were 25% and 16% (June 2015:45% and 27%).As highlighted earlier, the Commission is working with Fund administrators to ensure that expenditures are at their minimum and that the administration bill is not overstated (See the Table 4 and Figure 3 below).

Table 4: Income and Expenditure for Self-Administered Funds for the half year ended 30 June 2016

Fund Name	Total Contributions (Excl arrears) (000)			Total Income \$(000)			Total Paid Benefits \$(000)			Expenses \$(000)			(Expenses/Contributions) %			(Expenses/Total Income) %		
	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth
Minerva	16,930	15,501	-8%	29,103	23,281	-20%	14,442	14,722	2%	8,610	3,060	-64%	51%	20%	-31%	30%	13%	-17%
Comarton	3,986	3,485	-13%	6,621	6,438	-3%	2,368	3,080	30%	2,281	2,834	24%	57%	81%	24%	34%	44%	10%

Marsh	8,832	8,308	-6%	14,009	13,087	-7%	5,703	6,201	9%	5,488	970	-82%	62%	12%	50%	39%	7%	-32%
ZIB	130	65	-50%	134	65	-51%	0	0	0%	6	3	-50%	5%	5%	0%	4%	5%	1%
Totals	29,878	27,359	-8%	49,867	42,871	-14%	22,513	24,003	7%	16,385	6,867	-58%	45%	25%	-20%	27%	16%	-11%

Figure 3: Income and Expenditure \$(000)



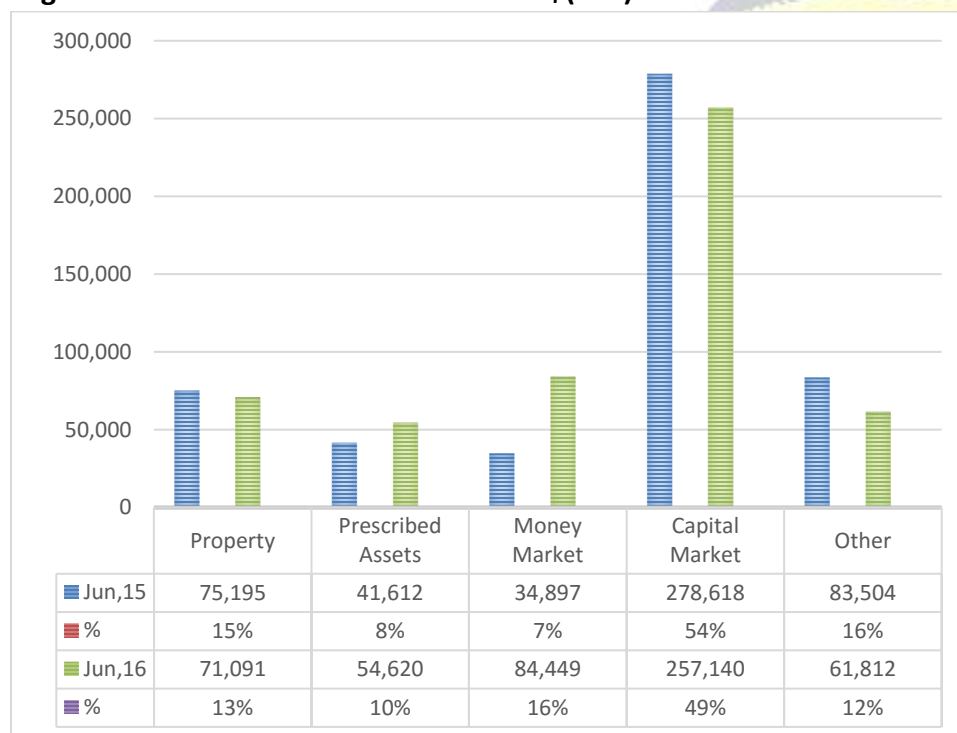
5.0 Fund Assets

As at 30 June 2016, the total asset base for self-administered funds was \$529 million distributed as follows: property-13% or \$71million (June 2015:15% or \$75million), capital market-\$257million or 49%(June 2015: \$279million or 54%), money market-\$59million or 18 %(June 2015: \$60 million or 18%) , other assets-\$62million or 12% (June 2015:16% or \$84million), prescribed assets-\$55million or 10% (June 2015:8% or \$42million).Players were compliant with the 10% prescribed asset ratio(See Table 5 and Figure 4, below).

Table 5: Fund Asset Statistics at Market Value for Self-Administered Funds as at 30 June 2016

Fund Name	Immovable Property \$(000)			Prescribed Assets \$(000)			Money Market Securities \$(000)			Capital Market Securities \$(000)			Other \$(000)			Total \$(000)		
	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	June 2015	June 2016	Growth
Minerva	25,920	21,621	-17%	23,942	31,370	31%	0	50,499	100%	175,628	132,430	-25%	31,007	27,817	-10%	256,497	263,737	3%
Comarton	3,456	4,826	40%	6,252	7,604	22%	16,818	18,376	9%	28,934	66,443	130%	27,990	7,605	-73%	83,450	104,854	26%
Marsh	45,819	44,644	-3%	11,373	15,616	37%	18,022	15,556	-14%	73,792	58,167	-21%	24,091	25,831	7%	173,097	159,814	-8%
ZIB	0	0	0%	45	30	-33%	57	18	-68%	264	100	-62%	416	559	34%	782	707	-10%
Totals	75,195	71,091	-5%	41,612	54,620	31%	34,897	84,449	142%	278,618	257,140	-8%	83,504	61,812	-26%	513,826	529,112	32%

Figure 4: Fund Assets as at 30 June 2016\$(000)



6.0 Circulars and Statutory Instruments

For the period under review the Commission issued the following circulars and statutory instruments: -

Table 10: Issued Circulars and Statutory Instruments for the half year ended 30 June 2016

Statutory Instrument Issued	Subject	Date Gazzeted
Statutory Instrument 21 of 2016	Insurance and Pensions Commission (Levy) Regulations, 2016	12 February 2016
Statutory Instrument 22 of 2016	Pensions and Provident Funds (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 23 of 2016	Insurance (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 24 of 2016	Pension and Provident Funds (Amendment) Regulations, 2016 Commutations	19 th February 2016
Statutory Instrument 25 of 2016	Insurance (Amendment) Regulations ,2016 Prescribed Assets	19 th February 2016
Circular Issued	Subject	Date Issued
Circular 1 of 2016	Investment Guidelines for Life and Self-Administered Funds	14 January 2016
Circular 2 of 2016	Benefit Statements to Members of Pension Funds	4 March 2016
Circular 3 of 2016	Licencing Manual for entities in the Insurance Sector	22 June 2016
Circular 4 of 2016	Proposed Micro Insurance Regulatory Framework	22 June 2016
Circular 5 of 2016	Certificate of Proficiency (COP) in Trusteeship	27 June 2016

Table 11: List of Approved Prescribed Asset Paper at 30 June 2016

Name of the Bond and Issuer	Purpose of the Bond and its salient Features	Uptake ratios
ZB Financial Holdings 2015/2016 Agro bills	✓ The target amount was \$5million at a coupon rate of 5%, ✓ intended to support the 2015/2016 agricultural season	\$4.716 million was raised from the pension and insurance industry only, indicating an uptake ratio of 94%. Repayments will be made on the 4 th of November 2016 and 19 th of December 2016
FBC & Agribank 2015/2016 Agrobills	✓ The target amount was \$20million at a coupon rate of 10%, ✓ intended to support the 2015/2016 agricultural season	A total of US\$20million raised from the market, representing 100% uptake of the Bills. Repayments to commence in June and will be fully paid in December
IDBZ Series 2 2014B (US\$50million)	✓ Refurbishment of Kariba South Power Station and Repowering of Harare Power Station. ✓ Bond has a tenor of 5 years at 9% coupon rate.	As at 22 January 2016, the bank has raised US\$30.75million from the market (i.e. a 62% uptake)
Agricultural Marketing Authority (AMA Bills)	✓ Finance the purchase of grain by the Grain Marketing Board ✓ \$50million at a coupon rate of 10.5%p. a	No update at the moment on uptake
Homelink	✓ Development of stands and construction of housing units	No update at the moment on uptake

	✓ Initial bond amount of \$15m. However, the applicant is targeting to raise \$50million to complete the project.	
Honde Hydro Power Consolidated	✓ Bond amount of \$5million with a coupon rate of 8.5% to 9%, with a tenor of 5years ✓ Intended for the construction of Hauna Power Station and to use some of the funds as working capital	Application was approved on the 13 th of May 2016.
IDBZ Series 1 2015B	✓ \$5million bond at a coupon rate of 9.5% with a tenor of 5 years ✓ To finance housing projects namely New Marimba Park in Harare and Clipshan Views Suburb in Masvingo	Application was approved on the 13 th of May 2016.
Agribank and FBC, 2016/2017 Agrobills	✓ \$20million bond, coupon rate negotiable on private placement. ✓ Purpose: is to finance the 2016/2017 agricultural season.	Application approved on the 27 th of July 2016 and is now open for subscription
Zimbabwe Electricity Transmission and distribution Company (ZETDC)	✓ \$15million bond, coupon rate 8.5% per annum ✓ Purpose: to finance ZETDC Pre-Paid Meters	Application approved on the 27 th of July 2016 and is now open for subscription

Conclusion

The industry continues to be affected by challenges relating to high cost-to-contribution ratio, liquidity challenges, arrear contributions, and compliancy issues related to prescribed assets. However, the administrative and regulatory interventions by IPEC appear to be bearing positive results slowly.



